



‘THE PESSIMISTS HAVE BEEN PROVEN WRONG’

Ruchir Sharma, Founder of Breakout Capital and Chairman of Rockefeller International, talks about the global outlook from an India perspective, and what is working or not working for the country

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The world is going through a period of flux. One person whose assessments have wielded immense influence over investors at such volatile times is Ruchir Sharma, Founder of Breakout Capital and Chairman of Rockefeller International. In a freewheeling interview in New York with *Rahul Kanwal*, News Director of India Today and Aaj Tak, and Executive Director of Business Today, Sharma talks about what India has done right, where it can improve and on the prospects of the northern neighbour, China. Edited excerpts:

Q: Till a few years ago, governments were talking about double-digit growth rates. Now, 6.5 per cent is all policymakers are talking about. Is 6.5–7 per cent the new normal?

A: If you look at India’s growth trajectory over the last 40–50 years, you [will] find a very tight fit with what’s happening globally. When we had this extraordi-

nary boom in the 2000s, where the Indian economy did grow at 9 per cent or so, the global economy was booming... growing at about 4 per cent or so; emerging markets, in general, were growing at 7 per cent. In the current era, the global economy’s growth rate has slipped to about 2.5 per cent, and in the entire history of India’s economic development, the country’s economy, on a sustained basis, has never been able to grow more than about three percentage points faster than the global economy. So, what’s the logical conclusion? That [if] the global economy is going to grow at 2–2.5 per cent, then for the Indian economy to grow much faster than 5.5–6 per cent is extremely difficult. It’s never been done before.

Why is the global economy growing at this pace? Because the demographics have changed; the world’s population is not growing at the rate it was [earlier]; then factors such as de-globalisation [are] also coming into play... So, these global factors are pulling down India’s growth rate as well... There’s [been] a major shift across the world in growth rates, and that’s what I think is leading to a slowdown in India’s growth rate as well.

Q: Much was made of the fact that by 2027–28, India could emerge as the third-largest economy in the world. How much of that would you attribute to the economic reforms and policy measures undertaken by the Narendra Modi government?

A: One thing I do find quite remarkable about this government is that if you look at most governments in the past—and this is across the world—typically, from an economic management standpoint, the first term tends to be when they carry out the big reforms.